

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

COLOR BRANDS, LLC, *Complainant*

v.

AAF LOGISTICS, INC., *Respondent*.

DOCKET NO. 22-18

Served: December 6, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER TO RESPOND TO MOTION FOR DEFAULT

On August 30, 2022, the Notice of Filing of Complaint and Assignment and a copy of the Complaint were served on Respondent AAF Logistics, Inc. A UPS delivery notification states that the documents were delivered on August 31, 2022, to AAF Logistics, Inc., 17700 Castleton St., No. 363, City Of Industry, CA 91748-1700. See attached.

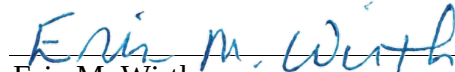
On October 18, 2022, an order was issued granting Respondent's counsel's motion to withdraw, ordering AAF Logistics to respond to the Complaint, and stating that if "Respondent fails to respond to this order by November 18, 2022, a default decision may be entered against it, including awarding reparations to Complainant up to \$ 322,624.17, plus attorney's fees if sought, and any other appropriate penalty." Order Granting Motion to Withdraw as Counsel and Order to Show Cause at 2. Respondent has not responded to the Complaint to date.

On November 28, 2022, Complainant filed a motion seeking default and entry of a default judgment ("Default Motion"). This Default Motion did not include a notice that it was served on Respondent. The FMC Office of Administrative Law Judges ("OALJ") emailed a copy of the Default Motion to Complainant and attorney Charles Pok, who had been identified in the Complaint as representing Respondent. Mr. Pok responded that he was "not the attorney of record in this case" and "cannot receive any document on behalf of AAR Logistics." 11/29/22 email, attached.

By this order, Respondent AAF Logistics, Inc. is being served at its street address of 17700 Castleton St., No. 363, City of Industry, CA 91748-1700. A copy of Complainant's Default Motion and the October 18, 2022, Order Granting Motion to Withdraw as Counsel and Order to Show Cause are included. Respondent will be given one final opportunity to respond to the complaint against it.

It is hereby **ORDERED** that Respondent AAF Logistics, Inc. must respond to this Complaint by January 5, 2023, or a default decision may be entered against it, including awarding reparations to Complainant up to \$ 322,624.17, plus attorney's fees if sought, and any other appropriate penalty.

In addition, the parties are reminded that all filings should be emailed to secretary@fmc.gov with a copy to the opposing party and judges@fmc.gov.


Erin M. Wirth
Chief Administrative Law Judge



UPS Delivery Notification, Tracking Number 1Z1Y2R542491402838



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UPS <pkginfo@ups.com>



To: Joseph Johnson

Wed 8/31/2022 12:56 PM



Hello, your package has been delivered.

Delivery Date: Wednesday, 08/31/2022

Delivery Time: 9:54 AM

Signed by: AAF LOGISTICS

FMC-WASHINGTON

Tracking Number:

[1Z1Y2R542491402838](#)

Ship To:

AAF LOGISTICS, INC.
17700 CASTLETON ST.
NO. 363
CITY OF INDUSTRY, CA 917481700
US

Number of Packages:

1

UPS Service:

UPS Next Day Air®

Package Weight:

1.0 LBS

Reference Number:

OS

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Re: Motion for Filing - Docket No. 22-18 (Color Brands, LLC v. AAF Logistics, Inc.)

charlespok@aol.com <charlespok@aol.com>

Tue 11/29/2022 3:54 PM

To: Judges <Judges@FMC.gov>

Cc: daniel@colorbrands.us <daniel@colorbrands.us>; robert@colorbrands.us <robert@colorbrands.us>; Secretary <secretary@FMC.gov>

Dear Sir or Madam:

I am not the attorney of record in this case. I cannot receive any document on behalf of AAR Logistics. I was never retained as attorney of record for any party in this case.

Charles Pok

-----Original Message-----

From: Judges <Judges@FMC.gov>

To: Charles Pok (charlespok@aol.com) <charlespok@aol.com>

Cc: Daniel Lutz, COO <daniel@colorbrands.us>; Robert Zimmerman <robert@colorbrands.us>; Secretary <secretary@FMC.gov>

Sent: Tue, Nov 29, 2022 10:05 am

Subject: Fw: Motion for Filing - Docket No. 22-18 (Color Brands, LLC v. AAF Logistics, Inc.)

Good afternoon,

All filings should be sent to secretary@fmc.gov and copied to judges@fmc.gov and the opposing party. By this email, this filing is being sent to Respondent AAF Logistics, Inc. Mr. Pok, please reply all to confirm that you are in receipt of this filing on behalf of AAF Logistics, Inc. Thank you.

Sincerely,

Office of Administrative Law Judges

Federal Maritime Commission

800 North Capitol Street, NW

Washington, DC 20573-0001

Tel: 202-523-5750

Email: judges@fmc.gov

From: Robert Zimmerman <robert@colorbrands.us>

Sent: Monday, November 28, 2022 4:02 PM

To: Secretary <secretary@FMC.gov>

Subject: Motion for Filing - Docket No. 22-18 (Color Brands, LLC v. AAF Logistics, Inc.)

Good Afternoon,

My name is Robert Zimmerman and I am writing from complainant Color Brands LLC. Please find attached Color Brand's LLC's Motion for Default and Entry of Default Judgment. I have included the motion as well as the sworn verification.

This is my first time submitting a document for filing with the Federal Maritime Commission. Please let me know if there is anything else I can provide or an alternative method to submit this filing.

Thank you very much for all your help.

Sincerely,

Robert Zimmerman

BEFORE THE
FEDERAL MARITIME
COMMISSION

DOCKET NO. 22-18

COLOR BRANDS, LLC.

COMPLAINANT,

v.

AAF LOGISTICS, INC.

RESPONDENT.

MOTION FOR DEFAULT AND ENTRY OF DEFAULT JUDGMENT

NOW COMES, Complainant, Color Brand's LLC., respectfully moves the Federal Maritime Commission ("Commission") to enter default judgment against AAF Logistics, Inc. ("Respondent" or "AAF") pursuant to 49 C.F.R. § 502.65 for its failure to Answer or otherwise respond to the complaint, despite passage of the statutory time to respond, withdrawal of its prior counsel and AAF's non-response to the Commission's Order to Show Cause reentry of default judgment. In support, Color Brands respectfully states as follows:

1. On August 30, 2022, Color Brands, LLC. ("Complainant" or "Color Brands"), filed its Verified Complaint against AAF Logistics, Inc. ("Respondent" or "AAF") alleging violations of the Shipping Act of 1984, 46 U.S.C. § 41102(a)(c), 46 U.S.C. § 41104(a)(4)(e) and 46 U.S.C. § 41104(a)(14) on the matter of paid cargo insurance premiums for which no insurance was secured and unresolved cargo loss and damage claims under AAF bills of lading.

2. On August 30, 2022, the Commission issued a Served Notice of Filing of Complaint advising AAF that Color Brands had filed a complaint against AAF.
3. On August 30, 2022, the Commission issued a letter to Color Brands advising that the complaint was served by mail to Respondent.
4. On September 26, 2022, AAF's attorneys Henry P. Gonzalez and Peter Herrick, filed their Notice of Appearance in this proceeding as counsel for Respondent, and a Motion for Extension of Time to File an Answer.
5. On September 27, 2022, the Commission served its Order Granting AAF's Motion for Extension of Time to File its Answer. The Commission ordered that AAF file its answer by October 17, 2022.
6. On October 17, 2022, counsel for Respondent filed a Motion to Withdraw as Counsel.
7. On October 18, 2022, the Commission granted the Motion of Mr. Gonzalez and Mr. Herrick to Withdraw as Counsel for AAF. The Commission noted that AAF was in default but granted AAF until November 18, 2022, to answer the Complaint. Further, the Commission issued an Order to Show Cause why default judgment should not be entered against Respondent in the event it did not file an answer on or before November 18, 2022. AAF was provided further notice that a default concedes the truth to well-pled factual allegations and that default judgment may include reparations of up to \$322,624.17, plus attorney's fees.
8. As of the time of filing, AAF has not responded to the Commission's Order and has not filed an Answer to Color Brand's Complaint.
9. AAF waives its attorney's fees incurred up to the time of entry of default judgment in the principal amount of \$322,624.17 so as to liquidate Complainant's claim and allow judgment to be entered at this time.

WHEREFORE, Color Brands prays that the Commission 1) enter a judgment of default against AAF in the principal amount of \$322,624.17 and 2) find that the allegations in Color Brand's Complaint are confessed by Respondent.

Date: November 28, 2022

Respectfully Submitted,

A handwritten signature in black ink, appearing to read 'DL', is positioned above a horizontal line.

Daniel Lutz
COO, Color Brands, LLC.
406 N. Sangamon Street, Suite 300
Chicago, IL 60642
Phone: (248) 880-6621
Email: Daniel@colorbrands.us

Verification

I declare (or certify, verify, or state) under penalty of perjury that the foregoing is true and correct.

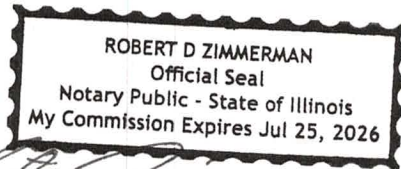

Daniel Lutz

State of Illinois

County of Cook

Subscribed and sworn before me on this 11 day of November 2022 by






Notary Public

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

COLOR BRANDS, LLC, *Complainant*

v.

AAF LOGISTICS, INC., *Respondent*.

DOCKET NO. 22-18

Served: October 18, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER GRANTING MOTION TO WITHDRAW AS COUNSEL AND ORDER TO SHOW CAUSE

I. Motion by Respondent's Counsel to Withdraw.

On October 17, 2022, counsel for Respondent filed a motion to withdraw pursuant to Commission Rule 502.23(e) and ABA Model Rules 1.16(a)(3), stating:

On October 17, 2022, Respondent notified undersigned that its services were being terminated and discharged effective immediately. Respondent confirmed it was made aware of the consequences and impact of undersigned counsels' termination and discharge, and which decision could result in a default judgment. Notwithstanding, Respondent acknowledged the consequences as explained, and still desired to terminate and discharge undersigned counsels' representation.

Motion to Withdraw at 1.

Good cause having been stated, it is hereby **ORDERED** that Respondent's counsel's motion to withdraw be **GRANTED**.

II. Respondent is in Default and Must Respond to the Complaint.

On August 30, 2022, the Commission issued a Notice of Filing of Complaint and Assignment ("Notice"), advising Respondent AAF Logistics, Inc. ("AAF Logistics") that a complaint had been filed against it and the cover letter stated that a response to the complaint was due within 25 days. On August 31, 2022, an Order Designating Administrative Law Judge and an Initial Order were issued.

On September 26, 2022, a notice of appearance and a motion for extension of time to file answer were filed by Respondent's counsel. On September 27, 2022, an order was issued granting the motion for extension of time and requiring a response to the complaint by October 17, 2022.

To date, no response has been filed by Respondent to the complaint. The complaint alleges a violation of sections 41102(c), 41104(a)(1), and 41104(4)(E) of the Shipping Act of 1984 (“Shipping Act”). Complaint at 5. Complainant seeks damages of up to \$ 322,624.17. Complaint at 5.

The Commission’s rules require that Respondent file an answer within twenty-five days after the date of service. *See* 46 C.F.R. § 502.62(b). The answer was due on October 17, 2022. No answer has been filed to date. Respondent initially retained counsel for this proceeding but terminated them. Prior to withdrawing as counsel, Respondent was warned by its counsel that failure to respond to the complaint could lead to a default decision.

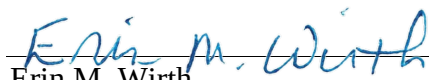
Pursuant to Commission Rules:

Failure of a party to file an answer to a complaint, counterclaim, crossclaim, or third-party complaint within the time provided will be deemed to constitute a waiver of that party’s right to appear and contest the allegations of the complaint, counterclaim, crossclaim, or third-party complaint to which it has not filed an answer and to authorize the presiding officer to enter an initial decision on default as provided for in 46 CFR 502.65. Well pleaded factual allegations in the complaint not answered or addressed will be deemed to be admitted.

46 C.F.R. § 502.62(b)(6).

Respondent is currently in default. There may be some valid reason why Respondent has failed to respond. Therefore, Respondent will be granted additional time to respond to the complaint and to show cause why judgment should not be entered against it.

Accordingly, AAF Logistics is hereby **ORDERED** to respond to the complaint by November 18, 2022. If Respondent fails to respond to this order by November 18, 2022, a default decision may be entered against it, including awarding reparations to Complainant up to \$ 322,624.17, plus attorney’s fees if sought, and any other appropriate penalty.


Erin M. Wirth
Chief Administrative Law Judge